An idea exists in finance that seems innocent but has done incalculable damage.

It's the notion that assets have one rational price in a world where investors have different goals and time horizons.

Ask yourself: How much should you pay for Google stock today?

The answer depends on who "you" are.

Do you have a 30-year time horizon? Then the smart price to pay involves a sober analysis of Google's discounted cash flows over the next 30 years.

Are you looking to cash out within 10 years? Then the price to pay can be figured out by an analysis of the tech industry's potential over the next decade and whether Google management can execute on its vision.

Are you looking to sell within a year? Then pay attention to Google's current product sales cycles and whether we'll have a bear market.

Are you a day trader? Then the smart price to pay is "who cares?" because you're just trying to squeeze a few bucks out of whatever happens between now and lunchtime, which can be accomplished at any price.

When investors have different goals and time horizons—and they do in every asset class—prices that look ridiculous to one person can make sense to another, because the factors those investors pay attention to are different.

Take the dot-com bubble in the 1990s.

People can look at Yahoo! stock in 1999 and say "That was crazy! A zillion times revenue! The valuation made no sense!"

But many investors who owned Yahoo! stock in 1999 had time horizons so short that *it made sense for them* to pay a ridiculous price. A day trader could accomplish what they need whether Yahoo! was at $5 a share or $500 a share as long as it moved in the right direction that day. And it did, for years.

An iron rule of finance is that money chases returns to the greatest extent that it can. If an asset has momentum—it's been moving consistently up for a period of time—it's not crazy for a group of short-term traders to assume it will keep moving up. Not indefinitely; just for the short period of time they need it to. Momentum attracts short-term traders in a reasonable way.

Then it's off to the races.